

Foreign Exchange Risk and Expected Stock Returns in the Eurozone

by

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The paper: Summary

- ▶ Examines whether foreign exchange sensitivity (FXS) is priced in the cross-section of stock returns
 1. Focus on Eurozone-listed stocks over 2000 - 2023
 2. Estimates firm-level FXS from stock return sensitivities to euro effective exchange-rate movements
 3. Introduces a Eurozone-specific foreign exchange sensitivity factor
- ▶ **Findings:**
 1. Firms with higher absolute FXS earn lower future stock returns
 2. The negative FXS-return relation survives standard controls and robustness tests
 3. A low minus high FXS factor earns a positive premium and improves standard asset-pricing models
 4. Low measured FXS may reflect better hedging, risk management, or more stable business models

The paper: Strengths

1. Eurozone currency risk is increasingly relevant for international investors
 - Exchange rate movements and geopolitical uncertainty are central concerns
2. Novel Eurozone-specific FXS factor construction
 - Potentially useful for understanding currency-related return variation within the Eurozone
3. Clean empirical structure
 - Portfolio sorts, Fama–MacBeth regressions, robustness and other checks

Main comments: Contributions

- ▶ What is special about the Eurozone setting?
 - Common currency; integrated monetary policy; euro importance in international transactions; international exposure of Eurozone firms
 - Should we expect different or similar findings compared to the U.S. and global evidence, and why?
 - The main findings are directionally similar to U.S. (Kolari et al., 2008) and global evidence (Karolyi and Wu, 2020)
- ▶ Is the anomaly analysis a validation exercise or does FX sensitivity change what we already know about Eurozone anomalies?
 - Value, momentum, profitability, and investment effects are well documented internationally
 - The contribution is stronger if FXS materially changes the interpretation of these anomalies

Main comments: Contributions (Cont'd)

- ▶ The FXS factor is interesting especially if the paper showed that it captures a distinct risk
 - As it is now, it is similar to Kolari et al. (2008) high-minus-low FX sensitivity spread adapted to Eurozone
- ▶ The interpretation that low FXS reflects better hedging, risk management or stable business models seems speculative
 - The paper could strengthen this interpretation using formal tests based on hedging, foreign sales, import/export exposure, or firm stability

Main comments: Methodology

1. Do results survive if you construct the FXS factor orthogonalized with respect to firm's size?
 - The paper notes that FXS and size factors are interconnected and that FXS captures part of the return variation from the size premium
2. How robust are Fama Macbeth results to country and industry fixed effects?
3. How sensitive are the results to the rolling window used for the estimation of FX beta?
 - It would be interesting to examine whether results survive using FX betas estimated using 48- and 60-month rolling window
4. Do the results hold separately for positive and negative FX betas?
 - If only one tail drives the results then this has implications on the proposed economic mechanism

Thank you and good luck with your paper!